Hon Hai Precision Industry (2317 TT)

Target price: **TWD320.00** (from TWD337.00)

Share price (12 Nov): **TWD240.00** | Up/downside: **+33.3%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: solid opex control

- OPM expansion on strong scale leverage despite GM contraction
- Demand outlook remains promising even after US mid-term elections
- Reiterating Buy (1) rating; trimming 12M TP to TWD320

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What's new: We review Hon Hai's 3Q26 results, announced 12 November. We are impressed with its opex control, which led to solid operating margin expansion despite gross margin dilution from rising AI server contribution.

What's the impact: **3Q26 results beat.** Net income was TWD78bn (EPS: TWD5.53), 25% higher than our estimate (TWD62bn) and 10% higher than the Bloomberg consensus (TWD70bn). Revenue was TWD3.0tn (+19% QoQ; +46% YoY) with better-than-expected smartphone contribution. The gross margin came in at 6.02% (vs. 6.12% in 2Q26), a 0.1pp decline QoQ on a rising cloud segment mix. That said, the operating margin expanded 0.07pp to 3.83%, driven by strong opex control and better leverage.

Key updates: Hon Hai reaffirms its positive view of its 2027 revenue momentum, targeting double-digit growth YoY (similar to our forecast). The company believes its cloud business will remain a key growth driver (54% of total revenue in 3Q26). Regarding total AI server racks, Hon Hai expects to see high-double-digit growth in 2027 (vs. our expectation of c.30% YoY growth from GPU server plus a rising ASIC contribution; however, as ASIC AI servers typically utilise consignment models, its AI server revenue growth will be slightly diluted). As for smartphones, considering Hon Hai's key clients' models command high ASPs, we believe the impact from rising memory costs will be relatively smaller, but we expect the PC segment to decline YoY due to the negative impact from rising component costs.

During the 3Q26 results call, AI server end demand from the US was the hottest question, especially after the US mid-term elections. We believe management's view on hyperscalers' and neocloud's near-term demand remains positive, but the long-term impact must be closely monitored. Also, as investors are worried about the AI server capex slowdown from CSPs, management also indicated that there would be new end demand from sovereign and enterprise groups, which could act as a second growth wave. For 4Q26, the company is guiding for >15% revenue growth QoQ and YoY given the ICT peak season along with rising AI server revenue (up by 5-15% QoQ due to ongoing AI server shipment strength).

What we recommend: We raise our 2026-28E EPS by 10-12% to reflect higher ASP assumptions for AI servers. We reaffirm our Buy (1) rating but trim the 12M TP to TWD320, using a lower target PER of 13x (prior 16x; vs. its past-3-year range of 8-18x) on our 1-year forward EPS, given the overall weaker sentiment. Downside risk: low demand for AI servers.

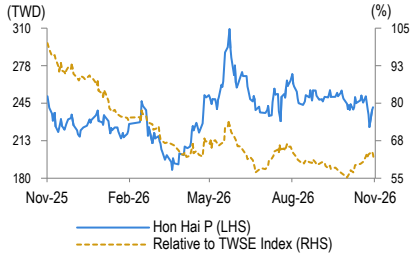
How we differ: Our 2026-27E revenue are above the consensus by 2-3%, likely as we are more optimistic on Hon Hai's AI server shipments.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	4.1	6.3	9.1
Net profit change	10.1	12.2	9.7
Core EPS (FD) change	9.9	12.0	9.5

Source: Daiwa forecasts

Share price performance



12-month range	187.50-309.00
Market cap (USDbn)	102.36
3m avg daily turnover (USDm)	294.54
Shares outstanding (m)	14,029
Major shareholder	Terry Gou (12.6%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	11,172,791	14,698,494	18,259,463
Operating profit (m)	416,632	520,555	632,250
Net profit (m)	272,125	338,345	414,888
Core EPS (fully-diluted)	19.398	24.118	29.574
EPS change (%)	42.4	24.3	22.6
Daiwa vs Cons. EPS (%)	3.7	0.7	(0.6)
PER (x)	12.4	10.0	8.1
Dividend yield (%)	3.0	3.8	4.2
DPS	7.2	9.0	10.0
PBR (x)	1.7	1.6	1.4
EV/EBITDA (x)	6.8	6.1	5.6
ROE (%)	14.6	16.5	18.1

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Hon Hai: revenue and earnings forecasts vs. Bloomberg consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	10,736,101	11,172,791	10,840,195	13,821,358	14,698,494	14,402,363	16,737,793	18,259,463	19,552,271
Diff (%)		4.1%	3.1%		6.3%	2.1%		9.1%	-6.6%
Gross Margin (%)	6.0%	6.0%	6.0%	5.8%	5.7%	5.7%	5.7%	5.5%	5.4%
Operating profit	380,830	416,632	383,702	460,254	520,555	476,243	574,336	632,250	587,828
Op Margin (%)	3.5%	3.7%	3.5%	3.3%	3.5%	3.3%	3.4%	3.5%	3.0%
Net profit	247,077	272,125	262,354	301,549	338,345	336,078	378,176	414,888	417,430
EPS	17.64	19.40	18.70	21.53	24.12	23.96	27.01	29.57	29.76
Diff (%)		9.9%	3.7%		12.0%	0.7%		9.5%	-0.6%

Source: Bloomberg, Daiwa forecasts

Hon Hai: quarterly and annual P&L

	2026E				2027E				2025	2026E	2027E	2028E
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE				
Net revenue	**2,119,533**	**2,525,894**	**3,015,634**	**3,511,729**	**3,070,942**	**3,293,560**	**3,914,940**	**4,419,052**	**8,103,105**	**11,172,791**	**14,698,494**	**18,259,463**
COGS	-1,988,553	-2,371,361	-2,834,121	-3,306,100	-2,892,733	-3,104,182	-3,689,834	-4,171,606	-7,604,944	-10,500,134	-13,858,354	-17,249,915
Gross profit	**130,981**	**154,533**	**181,513**	**205,630**	**178,210**	**189,378**	**225,106**	**247,446**	**498,161**	**672,657**	**840,140**	**1,009,549**
Operating expenses	-55,332	-59,730	-66,163	-74,800	-69,710	-73,446	-84,954	-91,474	-238,938	-256,025	-319,585	-377,299
Operating profit	**75,649**	**94,803**	**115,350**	**130,830**	**108,499**	**115,932**	**140,151**	**155,972**	**259,223**	**416,632**	**520,555**	**632,250**
Non-operating profit	-1,617	63	3,362	-909	-827	-917	-842	-873	35,035	899	-3,459	-1,071
Pre-tax profit	**74,031**	**94,866**	**118,712**	**129,921**	**107,672**	**115,015**	**139,310**	**155,099**	**294,258**	**417,531**	**517,096**	**631,178**
Income taxes	-17,075	-24,810	-27,811	-31,571	-26,164	-27,949	-33,852	-37,689	-104,091	-145,405	-178,751	-216,291
Net profit	**49,919**	**59,974**	**77,524**	**84,709**	**71,279**	**74,415**	**91,527**	**101,124**	**190,167**	**272,125**	**338,345**	**414,888**
Net EPS (TWD)	**3.56**	**4.28**	**5.53**	**6.04**	**5.08**	**5.30**	**6.52**	**7.21**	**13.62**	**19.40**	**24.12**	**29.57**
Operating Ratios												
Gross margin	6.18%	6.12%	6.02%	5.86%	5.80%	5.75%	5.75%	5.60%	6.15%	6.02%	5.72%	5.53%
Operating margin	3.57%	3.75%	3.83%	3.73%	3.53%	3.52%	3.58%	3.53%	3.20%	3.73%	3.54%	3.46%
Pre-tax margin	3.49%	3.76%	3.94%	3.70%	3.51%	3.49%	3.56%	3.51%	3.63%	3.74%	3.52%	3.46%
Net margin	2.36%	2.37%	2.57%	2.41%	2.32%	2.26%	2.34%	2.29%	2.35%	2.44%	2.30%	2.27%
YoY (%)												
Net revenue	29%	41%	46%	35%	45%	30%	30%	26%	18%	38%	32%	24%
Gross profit	30%	36%	39%	34%	36%	23%	24%	20%	16%	35%	25%	20%
Operating profit	63%	68%	64%	53%	43%	22%	22%	19%	29%	61%	25%	21%
Pre-tax profit	25%	44%	37%	58%	45%	21%	17%	19%	39%	42%	24%	22%
Net profit	19%	33%	34%	87%	43%	24%	18%	19%	25%	43%	24%	23%
QoQ (%)												
Net revenue	-19%	19%	19%	16%	-13%	7%	19%	13%				
Gross profit	-15%	18%	17%	13%	-13%	6%	19%	10%				
Operating profit	-12%	25%	22%	13%	-17%	7%	21%	11%				
Pre-tax profit	-10%	28%	25%	9%	-17%	7%	21%	11%				
Net profit	10%	20%	29%	9%	-16%	4%	23%	10%				

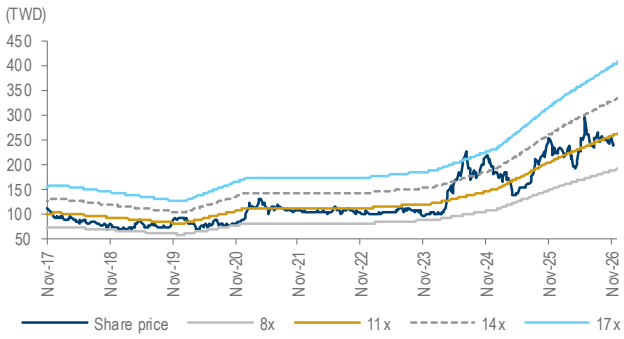
Source: Company, Daiwa forecasts

Hon Hai: 3Q26 comparison table

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	3,015,634	19%	46%	2,726,816	11%	2,846,525	6%
Gross profit	181,513	17%	39%	162,742	12%	170,428	7%
Gross margin (%)	6.0%			6.0%		6.0%	
Operating profit	115,350	22%	64%	95,389	21%	100,170	15%
Operating margin (%)	3.8%			3.5%		3.5%	
Pre-tax profit	118,712	25%	37%	94,980	25%	103,722	14%
Net profit	77,524	29%	34%	62,212	25%	70,202	10%
EPS (TWD)	5.53	29%	34%	4.44	25%	5.01	10%

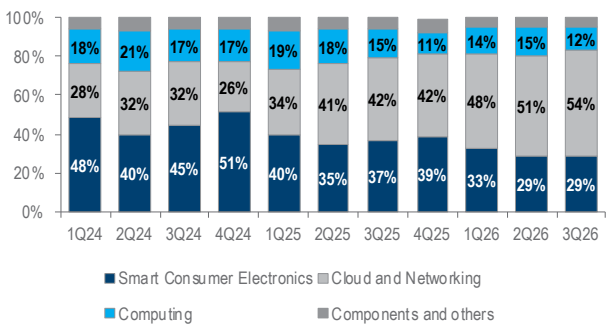
Source: Company; Daiwa forecasts; Bloomberg forecasts

Hon Hai: 1-year forward PER bands



Source: Company, TEJ, Daiwa forecasts

Hon Hai: revenue mix by product (quarterly)



Source: Company

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
PC and networking related sales growth (YoY%)	6.1	14.7	(7.9)	41.3	52.9	74.6	76.0	0.0
iPhone shipment (mn units)	164.0	170.5	166.0	138.4	138.0	31.5	31.0	0.0
iPad shipment (mn units)	48.5	47.4	40.5	47.1	44.5	8.9	9.0	0.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
PC/NB/networking Revenues	1,572,401	1,802,780	1,659,284	2,342,677	3,581,889	6,165,876	9,627,149	0
Mobile Device Revenues	3,338,169	3,659,865	3,453,892	3,390,913	3,214,178	3,610,254	3,608,450	0
Other Revenue	1,083,604	1,164,352	1,049,045	1,126,025	1,307,038	1,396,662	1,462,895	18,259,463
Total Revenue	**5,994,174**	**6,626,997**	**6,162,221**	**6,859,615**	**8,103,105**	**11,172,791**	**14,698,494**	**18,259,463**
Other income	0	0	0	0	0	0	0	0
COGS	(5,632,047)	(6,226,912)	(5,774,274)	(6,430,670)	(7,604,944)	(10,500,134)	(13,858,354)	(17,249,915)
SG&A	(108,099)	(112,039)	(111,399)	(112,567)	(117,233)	(128,492)	(162,490)	(195,158)
Other op.expenses	(105,069)	(114,258)	(110,020)	(115,772)	(121,705)	(127,533)	(157,096)	(182,142)
Operating profit	**148,959**	**173,788**	**166,528**	**200,607**	**259,223**	**416,632**	**520,555**	**632,250**
Net-interest inc./(exp.)	10,498	8,567	16,157	8,781	(7,087)	(14,188)	(14,339)	(14,351)
Assoc/forex/extraord./others	34,115	5,157	9,539	2,487	42,122	15,087	10,880	13,280
Pre-tax profit	**193,572**	**187,511**	**192,224**	**211,875**	**294,258**	**417,531**	**517,096**	**631,178**
Tax	(39,749)	(36,440)	(37,435)	(40,196)	(78,410)	(101,267)	(125,654)	(153,376)
Min. int./pref. div./others	(14,503)	(9,589)	(12,691)	(18,974)	(25,681)	(44,138)	(53,097)	(62,914)
Net profit (reported)	**139,320**	**141,483**	**142,098**	**152,705**	**190,167**	**272,125**	**338,345**	**414,888**
Net profit (adjusted)	**139,320**	**141,483**	**142,098**	**152,705**	**190,167**	**272,125**	**338,345**	**414,888**
EPS (reported)(TWD)	**10.050**	**10.206**	**10.250**	**10.993**	**13.618**	**19.398**	**24.118**	**29.574**
EPS (adjusted)(TWD)	**10.050**	**10.206**	**10.250**	**10.993**	**13.618**	**19.398**	**24.118**	**29.574**
EPS (adjusted fully-diluted)(TWD)	**10.050**	**10.206**	**10.250**	**10.993**	**13.618**	**19.398**	**24.118**	**29.574**
DPS (TWD)	**4.238**	**5.700**	**5.823**	**5.997**	**7.684**	**7.200**	**9.000**	**10.000**
EBIT	**148,959**	**173,788**	**166,528**	**200,607**	**259,223**	**416,632**	**520,555**	**632,250**
EBITDA	**224,441**	**250,248**	**250,934**	**288,489**	**356,976**	**504,543**	**629,023**	**767,763**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	193,572	187,511	192,224	211,875	294,258	417,531	517,096	631,178
Depreciation and amortisation	75,481	76,460	84,406	87,882	97,753	87,911	108,469	135,514
Tax paid	(39,749)	(36,440)	(37,435)	(40,196)	(78,410)	(101,267)	(125,654)	(153,376)
Change in working capital	(302,448)	(197,434)	247,995	(105,479)	(105,743)	(275,545)	(400,626)	(404,641)
Other operational CF items	(25,068)	79,610	(41,638)	11,947	19,808	0	0	0
Cash flow from operations	**(98,212)**	**109,708**	**445,553**	**166,029**	**227,666**	**128,629**	**99,284**	**208,675**
Capex	(92,296)	(97,935)	(111,745)	(136,339)	(173,763)	(256,974)	(338,065)	(419,968)
Net (acquisitions)/disposals	(23,366)	(3,653)	(102,505)	(216,117)	(185,335)	0	0	0
Other investing CF items	28,459	55,934	82,776	56,487	51,712	0	0	0
Cash flow from investing	**(87,202)**	**(45,654)**	**(131,473)**	**(295,969)**	**(307,386)**	**(256,974)**	**(338,065)**	**(419,968)**
Change in debt	112,599	38,469	(16,342)	(7,143)	317,976	0	0	0
Net share issues/(repurchases)	5,000	(7,763)	4,805	0	0	644	0	0
Dividends paid	(58,745)	(79,026)	(80,722)	(83,134)	(106,731)	(101,006)	(126,258)	(140,286)
Other financing CF items	(34,572)	(39,552)	(68,380)	(73,795)	(41,298)	0	0	0
Cash flow from financing	**24,281**	**(87,872)**	**(160,638)**	**(164,072)**	**169,947**	**(100,362)**	**(126,258)**	**(140,286)**
Forex effect/others	(7,363)	26,512	(11,704)	37,534	(12,778)	0	0	0
Change in cash	**(168,497)**	**2,695**	**141,737**	**(256,478)**	**77,448**	**(228,707)**	**(365,039)**	**(351,579)**
Free cash flow	(190,508)	11,773	333,808	29,690	53,903	(128,345)	(238,782)	(211,292)

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,109,958	1,084,732	1,350,078	1,315,835	1,596,804	1,368,096	1,003,057	651,478
Inventory	672,145	939,022	730,765	835,016	1,095,574	1,524,677	2,012,309	2,504,782
Accounts receivable	1,222,803	1,156,257	936,825	1,197,965	1,234,268	1,561,130	2,053,762	2,551,322
Other current assets	29,511	20,495	18,297	26,949	35,181	35,181	35,181	35,181
Total current assets	**3,034,417**	**3,200,506**	**3,035,966**	**3,375,765**	**3,961,827**	**4,489,084**	**5,104,309**	**5,742,763**
Fixed assets	357,499	411,694	410,595	486,335	543,836	712,899	942,496	1,226,950
Goodwill & intangibles	45,353	46,660	39,601	42,437	39,697	39,697	39,697	39,697
Other non-current assets	471,609	475,115	453,627	489,962	559,312	559,312	559,312	559,312
Total assets	**3,908,878**	**4,133,974**	**3,939,789**	**4,394,500**	**5,104,672**	**5,800,992**	**6,645,814**	**7,568,722**
Short-term debt	570,371	614,102	563,101	579,463	899,249	899,249	899,249	899,249
Accounts payable	1,076,178	1,068,963	893,119	1,133,052	1,331,933	1,812,352	2,391,990	2,977,383
Other current liabilities	351,131	430,749	453,114	462,302	479,666	479,666	479,666	479,666
Total current liabilities	**1,997,680**	**2,113,814**	**1,909,335**	**2,174,818**	**2,710,849**	**3,191,267**	**3,770,905**	**4,356,298**
Long-term debt	275,600	301,017	271,625	287,793	306,086	306,086	306,086	306,086
Other non-current liabilities	62,338	68,612	72,586	80,301	116,975	116,975	116,975	116,975
Total liabilities	**2,335,618**	**2,483,443**	**2,253,545**	**2,542,911**	**3,133,909**	**3,614,328**	**4,193,966**	**4,779,358**
Share capital	138,630	138,630	138,630	138,907	139,642	140,286	140,286	140,286
Reserves/R.E./others	1,241,827	1,311,915	1,354,479	1,506,294	1,633,129	1,804,249	2,016,336	2,290,937
Shareholders' equity	**1,380,457**	**1,450,545**	**1,493,109**	**1,645,202**	**1,772,772**	**1,944,535**	**2,156,622**	**2,431,223**
Minority interests	192,803	199,986	193,135	206,386	197,992	242,130	295,226	358,141
Total equity & liabilities	**3,908,878**	**4,133,974**	**3,939,789**	**4,394,500**	**5,104,672**	**5,800,992**	**6,645,814**	**7,568,722**
EV	3,295,691	3,397,249	3,044,659	3,124,683	3,173,399	3,446,244	3,864,380	4,278,874
Net debt/(cash)	**(263,987)**	**(169,613)**	**(515,352)**	**(448,579)**	**(391,469)**	**(162,761)**	**202,278**	**553,857**
BVPS (TWD)	**99.579**	**104.634**	**107.705**	**118.439**	**126.951**	**138.612**	**153.730**	**173.304**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	11.9	10.6	(7.0)	11.3	18.1	37.9	31.6	24.2
EBITDA (YoY)	27.6	11.5	0.3	15.0	23.7	41.3	24.7	22.1
Operating profit (YoY)	34.4	16.7	(4.2)	20.5	29.2	60.7	24.9	21.5
Net profit (YoY)	36.9	1.6	0.4	7.5	24.5	43.1	24.3	22.6
Core EPS (fully-diluted) (YoY)	36.9	1.6	0.4	7.2	23.9	42.4	24.3	22.6
Gross-profit margin	6.0	6.0	6.3	6.3	6.1	6.0	5.7	5.5
EBITDA margin	3.7	3.8	4.1	4.2	4.4	4.5	4.3	4.2
Operating-profit margin	2.5	2.6	2.7	2.9	3.2	3.7	3.5	3.5
Net profit margin	2.3	2.1	2.3	2.2	2.3	2.4	2.3	2.3
ROAE	10.4	10.0	9.7	9.7	11.1	14.6	16.5	18.1
ROAA	3.7	3.5	3.5	3.7	4.0	5.0	5.4	5.8
ROCE	6.5	7.0	6.5	7.7	8.8	12.7	14.8	16.5
ROIC	10.6	10.0	10.1	12.6	12.8	17.5	16.8	16.0
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	9.4	22.8
Effective tax rate	20.5	19.4	19.5	19.0	26.6	24.3	24.3	24.3
Accounts receivable (days)	67.8	65.5	62.0	56.8	54.8	45.7	44.9	46.0
Current ratio (x)	1.5	1.5	1.6	1.6	1.5	1.4	1.4	1.3
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	36.6	29.4	36.3	44.1
Net dividend payout	57.7	56.7	57.1	58.5	69.9	52.9	46.4	41.5
Free cash flow yield	n.a.	0.3	9.9	0.9	1.6	n.a.	n.a.	n.a.

Source: FactSet, Daiwa forecasts

Company profile

Established in 1974, Hon Hai Precision Industry (Hon Hai) started out making plastic products, connector products and cable assemblies. It is now the largest electronics manufacturing service (EMS) provider globally in terms of design, manufacturing, global logistics and after-market service.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Hon Hai has incorporated 4 independent members into its 7-member board of directors in pursuit of better governance. However, the company's Chairman also serves concurrently as President, implying an absence of separation between board leadership and executive management.
	Capital management	1	Hon Hai has declared >40% payout ratio for most of the years since 2014, and >50% in the past 5 years, pointing to a shareholder-friendly dividend policy.
	Related party & transaction	2	Revenue from related parties accounted for 1.6% of total revenue for 2025, while purchases from related parties constituted 0.1% of cost of sales. We believe there is limited risk from related-party transactions.
S	Supply chain management	2	Hon Hai adheres to green design concepts and incorporates environmental factors and pollution prevention measures during the design and development stages. The company's green product design guidelines include 4 axes: "energy-saving, non-harmful, reduction and easily recyclable."
S	Labor practices	2	Hon Hai recognises employees as the most important asset and continues to invest in its workforce. In terms of safety, Hon Hai has upgraded its occupational safety and health management system since 2019, and obtained the ISO45001 and CNS45001 certificates. The company held online activities related to factory safety and health. Overall, we note that Hon Hai has improved in terms of labour management in recent years. Hon Hai established a team to implement data security management. Moreover, it plans to conduct data security training and education regularly for all employees. Hon Hai aims to achieve zero data security incident in the future.
S	Product design & lifecycle management	2	Hon Hai adheres to green design concepts and incorporates environmental factors and pollution prevention measures during the design and development stages. The company's green product design guidelines include 4 axes: "energy-saving, non-harmful, reduction and easily recyclable."
Company specific		**Management**	**Analyst comments**
E	GHG emissions	2	In November 2020, Hon Hai announced its commitment to achieving net zero greenhouse gas emissions by 2050. Its Scope 1 and 2 GHG emissions decreased by 53.6% in 2025 compared with 2020, exceeding its reduction target of 21%. That said, the company's actual energy-saving rate in mainland China was 5.2% in 2025, successfully achieving its energy-saving goal of 4.2%.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 12 Nov 2026

Source: Daiwa, Company

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